STHIROS
Strategy. Risk. Cyber. AI.

Turning a year of construction into an IFRS-compliant, SAP-ready Rs. 213 Crore asset register



A leading Indian conglomerate's FMCG division engaged Sthiros as embedded Project Finance Controller for its Rs. 213 Crore automated warehouse construction, from procurement compliance through to IFRS-aligned capitalisation.

Client	Service	Sector	Geography
A Leading Conglomerate with an Integrated FMCG Division, India	**Project Finance Controller Engagement, IFRS-Compliant Capitalisation**	**FMCG, Food Manufacturing & Warehousing**	**India**

The Challenge:

When capitalisation has to be correct, not just complete

This client's automated warehouse project, built with Automated Storage and Retrieval System capability, represented a Rs. 213 Crore capital investment. The executing division needed expert support across procurement compliance, bill certification, asset identification, and IFRS-aligned capitalisation, embedded directly at the project site.

Understanding Existing Compliance Frameworks

The entity's own internal compliance frameworks needed to be thoroughly understood before any process or control could be designed at the project site.

Contract Review & Cost Classification

LSTK contracts and BOQs required detailed review to identify emerging assets, then classify direct, indirect, and apportionable costs against IFRS principles.

Acceptance, GRN & Invoice Certification

Timely inspection, GRN issuance, and on-site bill certification against defined SOPs was a recurring challenge affecting both payment and asset recording.

Vendor Balance & Bank Guarantee Monitoring

Timely confirmation of vendor balances and ensuring bank guarantees remained live required continuous follow-up and proactive tracking.

IFRS Capitalisation Triggers & Componentisation

Determining exactly when interdependent automated systems were ready for use, then breaking assets into IFRS-compliant components with parent-child relationships.

Physical Verification & Asset Tagging

Thousands of assets required periodic physical verification and tagging to establish ownership and eliminate ghost assets.

The Solution:

An embedded Project Finance Controller, across the full lifecycle

Sthiros embedded expert resources directly at the project site, establishing controls, documentation, and governance frameworks across every workstream from procurement through to capitalisation.

Every asset was identified, componentised to IFRS principles, and physically verified before the Fixed Asset Register was uploaded into SAP, with zero manual rework.

The team's deep expertise in project finance, IFRS capitalisation, and SAP integration has been invaluable throughout this engagement. Their structured approach, from SOP development and bill certification to FAR compilation and physical verification, has ensured that our warehouse project has transitioned into operations with complete financial accuracy and audit readiness. The replicable frameworks they have delivered will serve us well in future projects.

The Methodology

1

Compliance Framework Review & SOP Development

The entity's internal compliance framework reviewed in full, with project-specific SOPs drafted, implemented, and reviewed for ongoing adherence.

2

LSTK Contract & BOQ Review

Every Lump Sum Turnkey contract and Bill of Quantities reviewed to identify emerging assets and classify direct, indirect, and apportionable costs.

3

Acceptance, GRN & Invoice Certification Controls

A structured follow-up process ensured timely acceptance certificates and GRNs, with a Bill Certification Checklist and live tracker for every bill.

4

Vendor Balance Confirmation & BG Monitoring

Regular vendor balance follow-ups paired with a Bank Guarantee Tracker, ensuring every guarantee stayed live and valid throughout the project.

5

IFRS-Aligned Capitalisation & Componentisation

Accounting treatment aligned with IFRS for insurance spares, borrowing costs, and pre-operative items, with parent-child asset relationships established.

6

Physical Verification, FAR Compilation & SAP Integration

Periodic physical verification with user sign-offs, a comprehensive IFRS-aligned FAR in Excel, and a zero-rework upload into SAP.

7

Periodic Dashboards & Management Insights

Dashboards covering procurement compliance, bill certification, GRN adherence, and verification progress circulated for real-time governance visibility.

What This Means

Capitalise on readiness, not on hope.

Componentise assets before SAP does.

Physical checks kill ghost assets.

Outcomes

Rs. 213 Cr

Project value capitalised

In full compliance with IFRS standards, from construction through to a SAP-ready asset register.

Zero

Manual rework on SAP upload

Depreciation keys, useful lives, and mandatory fields defined for seamless ERP integration.

1 Year

Full engagement duration

July 2019 to June 2020, covering the complete construction-to-capitalisation lifecycle.

100%

Asset ownership established

User sign-offs obtained for every asset through periodic physical verification.

Get in touch

s your capital project capitalised, or just constructed?

Speak to Sthiros about what an embedded Project Finance Controller can unlock for your next capital project.

Connect with us:
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